THE PRESIDENT'S OFFICE

REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT

ARUSHA REGION TERMINAL EXAMINATION - MAY 2025

FORM ONE

SUBJECT CODE: 065 **BUSINESS STUDIES** **Time: 2:30Hours**

INSTRUCTIONS

1. This paper consists of Section A, B with a total of **six** questions
2. Answer Questions from all questions.
3. Section A and C carries **fifteen (15)** marks each, while section B carries **seventy (70)** marks
4. All answers should be written in the space provided on this questions paper.

SECTION A (15 Marks)

1. For each of the items (i) -(x), choose the correct answer from among the given alternatives and write its letter in the box provided.

i) Who is the final user of goods and services ?

a) Distributor
b) Retailer
c) Manufacture
d) Consumer

ii) The reward for capital is

a) interest
b) wages
c) rent
d) Profit

iii) Mr. Masakata is a retailer who sells goods to the customers on cash and credit terms However, he opted to sell on credit in order to attract more customers. What is the best description of this business process?

a) Distribution
b) Production
c) Consumption
d) Exchange

iv) Which among the following is a good example of perishable goods?

a) Processed coffee
b) Processed vegetables
c) Wheat flower
d) Natural flowers

v) Mr. Felix bought a new tractor costing TZS 36,000,000 for large scale agricultural activities. What type of goods can this tractor be classified into?

a) Consumer goods
b) Producer goods
c) Domestic goods
d) Luxury goods

vi) Latifa went to the Supermarket to purchase food items such as bread and butter, fruits, meet, diary and eggs for her family. How can you describe Latifa in business terms?

a) Producer
b) Cook
c) Consumer
d) Mother

vii) Education provided by teachers, healthcare from doctors, and banking services offered by financial institutions are good examples of:

a) Economic goods
b) Free goods
c) Services
d) Opportunity cost

viii) What makes small scale business vital in the countrys economy?

a) Gives an outlet to consumers
b) Provide specialist support to large scale business
c) innovators of new products
d) All of the above

ix) Who starts, creates and manages a new business

a) Leader
b) Manager
c) professional
d) Entrepreneur

x) Jane has TZS 10,000. She can either buy a textbook for school or a ticket to a music concert. She chooses to buy the textbook. What is the opportunity cost in Jane's decision?

a) The textbook she bought
b) The money she spent
c) The concert she missed
d) The value of the textbook in the future

2. Match the items from List A with the those in List B by writing the letter of the correct response below the item number in the table provided.

LIST A	LIST B
i) The ability of an entrepreneur to influence people towards accomplishment of goals.	A. Luxury goods B. Commitment
ii) Goods which have high social benefits to consumers.	C. Scarcity
iii) The intense dedication to the job .	D. Leadership skills
iv) The determination that pushes an entrepreneur to continue striving for business excellence all the time.	E. Merit goods
v) Shortage in . supply	F. Public goods G. perseverance

ANSWERS

LIST A	i	ii	iii	iv	v
LIST B					

SECTION B (70 Marks)
Answer All Questions

3. Briefly explain five characteristic possessed by entrepreneur

i) .....
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ii) .....
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iii) .....
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iv) .....
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v) .....
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4. Mention four purpose of business

i) .....
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ii) .....
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iii) .....
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iv) .....
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v) .....
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5. David just got his first salary from his new job. He is excited to spend his money but realizes he has many things he would like to buy. He needs to pay rent, buy food, and purchase work clothes. At the same time, he also wants to buy a new smartphone, a gaming console, and a stylish watch. Since his salary is limited, he must decide what to buy first.

i) Explain the meaning of

a) Human wants

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b) Human needs

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ii) From David's situation, identify his needs and wants.

a) David's wants

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b) David's Needs

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6. Amina runs a retail shop that sells various products, including food items, electronics, and farming tools. She buys fresh vegetables and dairy products daily from local farmers, stocks home appliances such as refrigerators and televisions, and also sells farming equipment like tractors and fertilizers. From the products Amina sells in her shop, identify and classify them into:

   i) Producer Goods

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   ii) Consumer Goods

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   iii) Perishable Goods

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   iv) Durable Goods

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7. Explain the meaning of the following terms.

   (i) Entreprenurship skills

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   (ii) Business

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   (iii) Labour

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   (iv) Service

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   (v) Goods

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8. List five component of business studies

   (i) .....
   (ii) .....
   (iii).....
   (iv).....
   (v) .....

9. (a)Explain 3 types of Entrepreneurship.

(i) .....
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(ii) .....
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(iii).....
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(b) Differentiate between entrepreneur and intrapreneur

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SECTION C 15 MARKS

10. Briefly explain the importance of studying business studies in peoples daily life. 6 points

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